Developed economies are those countries which are industrialised, utilise their resources efficiently and have high per capita income. The USA, Canada, U.K, France, and Japan are some of the developed economies. Developed economies are also termed as Advanced Countries. On the other hand, countries which have not fully utilized their resources like land, mines, workers, etc., and have low per capita income are termed as under developed economies. Examples of underdeveloped countries are Sub Saharan Africa, BanglaDesh, Myanmar, Pakistan, Indonesia etc.They are also termed as Under developed Countries or Backward Nations or Third World Nations.

## 7.2 Indian Economy

GDP Growth Rate

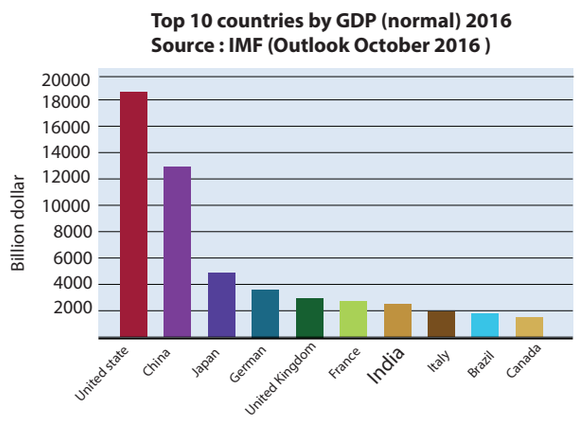



**Diagram 7.1**

Indian economy is the Seventh largest economy of the world. Being one of the top listed countries. In terms of industrialization and economic growth, India holds a robust position with an average growth rate of 7% (approximately).

Even though the rate of growth has been sustainable and comparatively stable, there are still signs of backwardness.

**Features of a Developed Economy**

1) High National Income
2) High Per Capita Income
3) High Standard of Living
4) Full Employment of Resources
5) Dominance of Industrial Sector
6) High Level of Technology
7) High Industrialisation
8) High ConsumptionLevel
9) High Level of Urbanisation
10) Smooth Economic Growth
11) Social Equity, Gender Equality and Low Levels of Poverty
12) Political Stability and Good Governance

The diametrically opposite features of Indian Economy are discussed below in detail.

## 7.3 Features of Indian Economy

### 7.3.1 Strengths of Indian Economy

#### 1. *India has a mixed economy*

Indian economy is a typical example of mixed economy. This means both private and public sectors co-exist and function smoothly. On one side, some of the fundamental and heavy industrial units are being operated under the public sector,while, due to the liberalization of the economy, the private sector has gained



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